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BUS 620: The Collapse of the Traditional Television Broadcasting Model in Professional Basketball

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Introduction

For decades, professional basketball teams from the National Basketball Association (NBA) relied on regional sports networks (RSNs) as an important source of revenue and fan engagement. These networks purchased local broadcasting rights from teams and distributed games through cable television packages. This arrangement was highly profitable because RSNs collected subscription fees from millions of cable households and advertising revenue. This model enabled networks to pay increasingly large media rights fees to professional sports franchises.

However, the media environment has changed dramatically over the last decade. Consumers are increasingly ditching the traditional cable subscriptions in favor of streaming platforms such as Netflix, Amazon Prime Video, YouTube TV, and other direct-to-consumer services. As a result, the subscriber base that supported regional sports networks has declined

significantly. Although basketball remains highly popular and sports ratings continue to perform well, many regional sports networks are struggling financially or exiting the market altogether. CNBC reported that live sports continue to attract strong audiences despite the financial difficulties facing regional sports networks, creating a disconnect between consumer demand and industry profitability (CNBC, 2026)

This trend creates an economic puzzle. If fan demand for basketball remains strong, why are the companies responsible for broadcasting local NBA games losing money, and why are teams receiving less revenue from local media contracts? This research paper argues that the decline in local television revenue is not primarily the result of declining interest in basketball. Instead, it is the result of the collapse of the cable-bundle business model that historically financed regional sports broadcasting. As consumers continue to cut the cord, the NBA and its franchises must adapt by developing new distribution and monetization strategies centered around streaming and direct-to-consumer platforms.

Identifying and Explaining the Challenge

The main challenge facing the NBA is the collapse of the regional sports network model. Historically, regional sports networks served as the primary method for delivering local NBA games to fans. Networks generated revenue through two major sources: advertising and monthly subscription fees paid through cable providers. Because nearly every cable customer paid for sports channels regardless of whether they watched sports, RSNs benefited from a large and stable revenue base.

Today, that model is under heavy pressure. Forbes reported that NBA teams have collectively lost approximately $450 million in local media revenue because of ongoing

instability in the regional sports network market, despite the league's continued business success (Chierchio, 2026). Millions of households have canceled traditional cable subscriptions and switched to streaming services that offer greater flexibility and lower costs. As the number of cable subscribers declines, regional sports networks receive less subscription revenue, making it increasingly difficult for them to honor the expensive contracts they signed with professional sports teams. CNBC identified Main Street Sports, formerly Diamond Sports Group, as one of the most visible examples of the industry's challenges, highlighting how regional sports networks have struggled to maintain profitability despite continued demand for live sports programming. These challenges have led to bankruptcies, restructuring efforts, layoffs, and downsizing throughout the industry. Networks that once served as the primary connection between local teams and fans are now being forced to reevaluate their business models or exit the market entirely.

This problem affects multiple stakeholders. NBA teams are losing an important source of local media revenue. Regional sports networks are facing bankruptcy, restructuring, and downsizing. Cable companies benefited from bundling sports channels with other programming and charging consumers monthly subscription fees. However, as streaming services become more popular, cable providers continue to lose customers. Fewer subscribers mean less revenue, which weakens their ability to support expensive sports programming agreements and contributes to the financial struggles of regional sports networks. The fans, who are the most important stakeholders, are also being affected in this transition. While viewers have more entertainment options than ever before, they may face greater challenges when trying to watch local NBA games. In the past, fans could often access their team's broadcasts through a single cable subscription. Today, local games may be spread across multiple streaming platforms,

broadcast stations, and subscription services. As a result, fans may need to purchase several subscriptions or navigate multiple platforms to follow a full season. In some markets, broadcast changes have also created confusion about where games can be viewed, potentially reducing accessibility even as fan interest remains strong.

This is a problem now rather than a general issue because of the rapid acceleration of cord-cutting. For decades, regional sports networks thrived because cable subscriptions remained relatively stable. The widespread adoption of streaming technology has fundamentally changed consumer viewing habits, creating a situation in which the traditional television ecosystem can no longer support the costs it once could. This distinction is important because sports ratings have remained strong even while the financial performance of regional sports networks has deteriorated. The evidence suggests that the problem lies in the distribution and monetization system rather than in fan interest itself.

Economic Concepts

The collapse of regional sports networks can be explained using several concepts from the BUS 620 lectures. The microeconomics concepts I focused on were supply and demand, elasticity, consumer choice, and market structure. Together, these concepts help explain why NBA teams are losing local television revenue even while interest in basketball remains strong.

Supply and Demand

The first key concept is the distinction between a movement along the supply and demand curve and a shift of the curve. The course lecture explains that a change in price causes movement along a supply or demand curve, while changes in other factors cause the entire curve to shift. The rise of streaming services represents a shift in consumer preferences rather than

simply a response to price changes. Consumers now have alternative ways to access entertainment, including streaming platforms such as Netflix, YouTube TV, and Amazon Prime Video. As consumers switch away from cable television, the demand curve for traditional cable subscriptions shifts left. Since regional sports networks rely heavily on cable subscribers for revenue, the decline in cable demand reduces the amount networks can pay NBA teams for broadcasting rights. This decline in cable subscriptions reduced the revenue base supporting regional sports networks and contributed to lower local television rights payments to NBA teams.

The course materials also talked about the importance of identifying which curve moved and why before analyzing outcomes. In this case, the critical change is not a decline in fan demand for basketball. Instead, it is a decline in consumer demand for bundled cable television services. Just as the supply shock in the oil example shifted the supply curve, streaming services have shifted demand away from cable television and toward digital alternatives. **Figure 1** demonstrates the real-world decline in U.S. pay television subscribers between 2016 and 2026. During this period, millions of households canceled traditional cable subscriptions and migrated to streaming services. This decline reduced the subscriber base that historically generated stable revenues for regional sports networks and helped finance local NBA media contracts. In **Figure 2**, streaming services shifted consumer demand away from traditional cable television. As the demand curve moved left from D1 to D2, the market equilibrium moved from E1 to E2, reducing both the equilibrium quantity of cable subscribers (from Q1 to Q2) and the equilibrium price (from P1 to P2). This leftward demand shift illustrates how changes in consumer preferences, rather than changes in the popularity of basketball, weakened the financial foundation supporting regional sports networks. Based on the supply-and-demand concepts discussed in the BUS 620

lectures, the movement from E1 to E2 reflects a decrease in demand caused by changing consumer behavior and the availability of substitutes.

Elasticity

The concept of elasticity helps explain why cable television subscriptions have fallen so quickly in recent years. Elasticity measures how responsive consumers are to changes in prices, income, or the availability of substitutes. One of the most important factors of demand elasticity is the number of substitute goods available to consumers. When many substitutes exist, consumers can more easily switch from one product to another, making demand more elastic.

For many years, cable television had relatively inelastic demand because consumers had few alternatives. Fans who wanted reliable access to local NBA games often had no choice but to subscribe to a cable package that included regional sports networks. Even if the monthly cost of cable increased, many sports fans continued paying because they viewed access to live games as essential entertainment. This gave cable providers and regional sports networks significant pricing power and allowed them to charge high subscription fees while maintaining a stable customer base.

The growth of streaming services has drastically changed this situation. Consumers can now choose from alternatives such as Netflix, YouTube TV, Amazon Prime Video, league-specific streaming packages, social media highlights, and nationally televised games. The availability of substitutes is one of the primary determinants of elasticity discussed in the course materials. As substitutes increase, consumers become more responsive to price differences and are more willing to switch products. The rapid growth of streaming services has created exactly

this environment within the sports media industry. If the cost of cable is perceived as too high relative to its benefits, consumers can easily switch to other entertainment options.

This increase in elasticity helps explain why regional sports networks are struggling despite strong sports ratings. Fans still enjoy watching basketball and continue consuming NBA content, but they are increasingly unwilling to pay for expensive cable bundles to access that content. CNBC notes that sports viewership remains strong, suggesting that consumers still value NBA content. However, consumers increasingly prefer to access that content through alternative platforms rather than expensive cable bundles. As more consumers make this decision, the subscriber base that once generated stable revenues for regional sports networks continues to shrink.

The decline in subscribers has significant consequences for the sports media industry. Regional sports networks historically depended on subscription fees collected from millions of cable households, including many viewers who did not regularly watch sports. As demand becomes more elastic and consumers leave cable packages, networks lose an important source of revenue. This reduction in revenue limits their ability to pay large broadcasting rights fees to NBA teams, contributing directly to the local television revenue problems discussed throughout this paper.

Elasticity demonstrates that the issue is not a decline in the popularity of basketball. Instead, it shows that consumers now have more alternatives and are responding to those alternatives by changing how they purchase entertainment services. What was once a relatively captive audience has become a highly responsive market in which consumers can easily replace cable television with streaming options.

Consumer Choice

Consumer choice theory provides another important explanation for the decline of traditional cable television and regional sports networks. According to the consumer choice model, individuals seek to maximize utility, which is the satisfaction they receive from consuming goods and services. Consumers make decisions based on their preferences, income, and budget constraints, selecting the combination of products that provides the greatest value for their money.

For much of the past several decades, cable television was perceived as one of the best ways to obtain entertainment. Consumers received access to hundreds of channels, including sports programming, news, movies, and other content through a single subscription. However, technological advancements have expanded consumers' options and changed how they evaluate entertainment purchases. As streaming services have become more widely available, consumers have gained the ability to customize their viewing experience while often paying less than they would for a traditional cable package.

Many households now view streaming services as providing greater utility than cable subscriptions. Streaming platforms offer several advantages, including lower monthly costs, flexibility in subscription choices, on-demand viewing, personalized recommendations, mobile access, and the absence of long-term contracts. A consumer may determine that paying for Netflix, Amazon Prime Video, or YouTube TV provides greater overall satisfaction than maintaining an expensive cable package that includes channels they rarely watch. **Figure 1** provides evidence of this reallocation by showing the steady decline in U.S. pay-tv subscribers over the last decade. The trend is consistent with consumer choice theory because consumers are actively selecting entertainment options that maximize utility while minimizing costs.

This decision can be understood through the concept of opportunity cost. Every dollar spent on cable television is a dollar that cannot be spent elsewhere. As consumers compare the benefits of cable against the benefits of streaming services, many conclude that streaming offers a better return on their entertainment spending. Consequently, they choose the option that maximizes utility while staying within their budget constraints. Consumer choice theory also helps explain why the decline of cable subscriptions has occurred despite continued interest in basketball. Fans have not necessarily stopped watching sports; rather, they have changed the way they access sports content. Many consumers now receive highlights through social media, watch nationally televised games through streaming platforms, or purchase specialized sports packages that better fit their viewing habits. This observation supports the CNBC finding that sports ratings have remained strong even while the business model supporting regional sports networks has weakened.

From a consumer choice perspective, cord-cutting is a rational economic decision. Consumers are responding to changing technology, lower-priced alternatives, and evolving preferences by selecting the entertainment options that provide the highest utility. This shift in consumer behavior has significantly reduced demand for traditional cable television and weakened the financial foundation of regional sports networks.

Market Structure and Pricing Power

The changing market structure of the sports broadcasting industry provides another explanation for the financial difficulties facing regional sports networks. The course materials on perfect competition explained the distinction between firms with significant market power and firms that must respond to competitive pressures. While sports media is not a perfectly

competitive industry, many of the concepts related to competition and pricing power help explain how the market has changed over time.

Historically, regional sports networks operated in a relatively protected market. Sports fans often had limited alternatives if they wanted to watch local NBA games. In many cases, access to regional broadcasts required a cable subscription, which gave both cable providers and regional sports networks substantial bargaining power. Because consumers faced few substitutes, networks could charge high carriage fees to cable providers, and those costs could be passed on to consumers through bundled subscription packages. This environment allowed regional sports networks to generate large and predictable revenue streams. With millions of households paying monthly subscription fees, networks could offer lucrative long-term contracts to NBA teams. Under this system, revenues were supported by large numbers of cable subscribers who paid for sports channels regardless of whether they watched sports. This arrangement allowed regional sports networks to generate predictable cash flows and offer increasingly valuable rights contracts.

The market structure supported a business model in which all participants could earn substantial profits as long as cable subscriptions remained strong. The emergence of streaming services significantly altered this market structure. New competitors entered the entertainment marketplace and provided consumers with alternative ways to access content. The number of choices available to viewers increased dramatically, reducing the market power that cable providers and regional sports networks once possessed. Companies can no longer assume that consumers will continue paying for large channel bundles when lower-cost alternatives are available.

As competition increases, pricing power declines. Regional sports networks now face pressure from streaming platforms, social media, league-operated services, and national broadcasters. Consumers have become more selective in how they spend entertainment dollars, forcing traditional broadcasters to compete aggressively for subscribers and advertising revenue. This competitive environment makes it far more difficult for networks to maintain the profitability levels that existed during the peak years of cable television. The decline in pricing power also affects negotiations between networks and NBA teams. In the past, networks could justify paying large rights fees because growing cable subscriptions produced steady income. Today, declining subscriber counts create uncertainty about future revenues. As a result, networks are less willing or less able to offer the types of contracts that teams previously enjoyed. Forbes estimated that teams have collectively lost approximately $450 million in local media revenue because of this disruption, highlighting the significant financial consequences of changing market structure and declining pricing power.

In economic terms, the sports broadcasting market has become more competitive and less dependent on a single distribution channel. Consumers now exert greater influence over the market because they can easily switch between competing entertainment options. This shift has reduced the pricing power of traditional broadcasters, weakened the regional sports network model, and accelerated the transition toward streaming-based distribution systems.

Implications

The primary mechanism operating today is the loss of subscription revenue caused by cord-cutting. Although basketball ratings remain strong, regional sports networks depend on more than viewership alone. In the past, their business model relied on collecting payments from

large numbers of cable subscribers, many of whom did not regularly watch sports. As these subscribers leave the cable ecosystem, the revenue available to networks declines.

This mechanism explains the apparent contradiction highlighted by recent reporting. Live sports continue to attract large audiences, yet regional sports networks are struggling financially. Strong ratings demonstrate that demand exists, but demand alone does not guarantee profitability if the underlying revenue model is broken. The implications for NBA teams are huge. According to Forbes, local television revenue has declined significantly even while the NBA benefits from new national media agreements with ABC/ESPN, NBC/Peacock, and Amazon Prime Video. This shows how local and national media markets are evolving differently. If current trends continue, several likely outcomes may occur. First, additional regional sports networks may exit the market or seek restructuring. Second, NBA teams may increasingly control their own media distribution through direct-to-consumer streaming services. Third, the league itself may pursue a centralized approach to local broadcasting rights to improve efficiency and maximize revenue opportunities. Industry reporting suggests that the NBA is considering centralized streaming solutions that would consolidate local media distribution and potentially partner with major technology platforms such as YouTube. Such a model could provide a more sustainable alternative to the fragmented regional sports network system. Reports also indicate that the NBA has already explored future league-wide digital distribution strategies that could consolidate local rights under a common platform.

A second possible outcome involves hybrid distribution models. Under this approach, teams would combine streaming subscriptions with free over-the-air broadcasts. This recommendation aligns with current industry discussions regarding league-wide digital distribution models and would allow the NBA to reduce its dependence on the financially

unstable regional sports network structure. A model like this could expand audience reach while creating multiple revenue streams through advertising, sponsorships, and digital subscriptions. This strategy may become increasingly attractive as teams seek to balance accessibility and profitability. These developments suggest that the future of sports broadcasting will likely look very different from the traditional cable-based system that dominated professional basketball for decades.

Proposed Strategy and Defense

Given these challenges, the NBA should pursue a centralized streaming strategy that combines direct-to-consumer digital distribution with selective free local television broadcasts. Under this approach, local media rights would be aggregated at the league level and distributed through a centralized platform. Fans would gain access to games through a single subscription service rather than navigating a fragmented collection of regional networks. The league would maintain relationships with free local broadcasters in selected markets to maximize visibility and fan engagement while generating additional revenue through advertising and sponsorships.

This strategy offers several advantages. First, it aligns with consumer preferences, as audiences increasingly favor streaming over traditional cable subscriptions. Second, it provides greater control over content distribution and customer relationships. Third, a centralized platform may benefit from economies of scale that individual teams cannot achieve independently. Finally, the strategy reduces dependence on financially unstable regional sports networks.

A common objection is that streaming cannot generate the same level of revenue as the cable bundle system. This concern is reasonable because the traditional model benefited from millions of consumers paying subscription fees regardless of whether they watched sports.

Streaming services generally receive payments only from active subscribers. As a result, replacing the revenue generated by cable bundles may prove difficult. However, maintaining the current model is not a viable long-term solution. Cable subscriptions continue to decline, and the financial struggles of regional sports networks demonstrate the weakness of relying on a shrinking customer base. Although a streaming-based model may initially produce lower revenues than the historical cable system, it is better aligned with current consumer behavior and offers a more sustainable path for future growth. The most successful long-term strategy is likely one that embraces changing technology rather than attempting to preserve a declining business model.

Conclusion

The collapse of the traditional television broadcasting model represents one of the most significant economic challenges currently facing professional basketball. Although fan demand for NBA content remains strong, the regional sports network system that historically monetized that demand is increasingly unsustainable. The growth of streaming services and widespread cord-cutting have reduced the subscription revenues upon which regional sports networks depended, creating financial difficulties for networks and reducing local media income for NBA teams.

Economic analysis shows that the issue is not declining popularity but rather the breakdown of a two-sided market that relied on cable-bundle subsidies. As households continue moving away from traditional television subscriptions, the entire sports media ecosystem must adapt. The NBA's future success will depend on its ability to develop innovative distribution strategies that effectively connect fans with content while generating sustainable revenue. A

centralized streaming platform supported by complementary broadcast partnerships appears to offer the most promising solution. While the transition may be challenging, it reflects the broader transformation of the media industry and the changing ways consumers choose to access entertainment in the digital age.

Citations

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Figures

Figure 1. *U.S Pay-Tv Subscribers from 2016 – 2026*

- This figure illustrates the long-term decline in traditional pay television subscriptions as consumers increasingly adopt streaming alternatives. The decline in subscribers reduces the revenue base available to regional sports networks and contributes to lower local media payments for NBA teams.

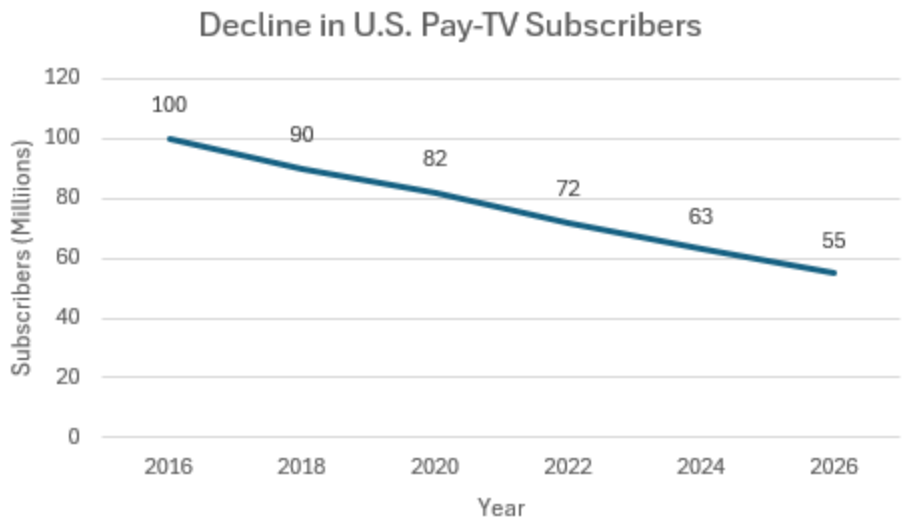


Figure 2. *Supply and Demand Graph for Impact of Streaming for Cable Television*

- The growth of streaming services shifts demand for traditional cable television leftward from D1 to D2. The equilibrium moves from E1 to E2, reducing both the quantity of cable subscribers and the market price. This change weakens the subscriber-funded revenue model that historically supported regional sports networks and local NBA broadcasting contracts. Based on concepts from the BUS 620 supply-and-demand lecture

